AN ADVISORY PRODUCT BY STUDIO TONTON GUG

NotchWork.io

Shadow ratings in minutes, not days.

Two parallel views — S&P + Moody's. Cross-agency reconciliation. Zero agency fees.

→ Live product: notchwork.vercel.app

→ S&P + Moody's engines operational today (44 sector scorecards)

→ Annual report → full shadow rating in under 10 minutes

→ Target: mid-market CFOs · DCM bankers · rating advisors · PE credit funds

→ **Raising: £500K–£750K Seed at £3.5M pre-money**

Guillaume · Senior IB Professional, London · Studio Tonton Gug · April 2026 · Strictly Confidential

Executive summary

The full picture in one page

THE GAP

60,000+ mid-market corporates priced out of agency ratings ($75K–$500K+ per engagement). DCM teams spend weeks on manual scorecards with no methodology backbone or auditability.

THE PRODUCT

Live SaaS platform. Annual report → AI extracts financials → applies S&P methodology + Moody's sector scorecard → outputs scorecard, narrative, sensitivities, PPTX memo. Under 10 min.

THE MOAT

S&P methodology fully ingested + 44 official Moody's sector scorecards extracted verbatim from the published PDFs. Cross-agency reconciliation when ratings diverge >2 notches. Auditable, defensible.

THE MARKET

Narrow issuer-pays market $10bn (Big 3 ~91% share); broad credit-risk ecosystem $50–60bn growing 7%+ CAGR. 60K+ unrated mid-market corps. No self-service shadow rating product exists today.

THE MODEL

SaaS £99–£999/mo + Enterprise API £3K–£20K/mo + White-label rev share. Y1: 50 clients → £240K ARR. Y3: 500 SaaS + 10 enterprise → £1.94M revenue. Series A trigger at £1M+ ARR.

THE ASK

£500K–£750K seed at £3.5M pre-money via SAFE/CN. 18-month runway to Fitch + DBRS engines, comps DB, first 50 clients, first hire, Series A readiness at £15M+ pre-money.

01

The Problem

90% of the market has no credit voice — and the gap is growing

The credit rating gap

A $50–60bn ecosystem where mid-market is invisible

60K+	$500K	4–8 wks	~91%	$699bn	£200K
Mid-market corps with no external rating	Max S&P initial fee per program	Traditional shadow rating timeline	Big 3 share of US NRSRO revenue	BBB- debt at risk of fallen-angel cliff	Boutique shadow rating advisory fee

Agency fees are prohibitive for 99% of companies

S&P initial rating: $75K–$600K+. Annual surveillance: $50K–$300K per agency. Dual-agency program for a £200M mid-cap: £400K–£1M+ over 5 years.

Banks and advisors are flying blind

DCM teams and advisors spend 2–6 weeks building manual credit scorecards — no standardised methodology, no auditability. Every analyst uses a different Excel.

CFOs have no independent benchmark

Mid-market CFOs preparing a refinancing, USPP issuance, or PE exit have no credible third-party credit estimate. They guess — or pay £50K–£200K for a static, 8-week PDF.

The BBB cliff is a board-level risk

$699bn of BBB- rated debt globally — 28% one notch from HY. Forced selling, RBC tripling at NAIC 2→3 (2.17%→3.15% post-tax, +45%), index exclusion, 100–300 bps spread widening.

02

The Solution

NotchWork — live at notchwork.vercel.app · two parallel agency views in under 10 minutes

NotchWork — live product

What users experience today at notchwork.vercel.app

> *"Published agency frameworks, not a black box. Every judgment ties back to a specific methodology reference — auditable end to end."*

STEP 01

Upload your docs

Annual report, 10-K, or 20-F. Platform extracts company identity, sector, financials. Optional: peer rating reports, IMs, investor decks — each sharpens the analysis.

STEP 02

Fine-tune with the chatbot

Co-analyst chatbot in plain English. Add peers, correct ratios, discuss financial policy. "My peers are Veolia BBB and Suez BB+." Skip entirely or go deep.

STEP 03

Get the dual rating

S&P (CICRA → BRP × FRP → ICR) + Moody's (sector scorecard). Cross-agency reconciliation if gap >2 notches. Scorecard, modifiers, sensitivities, narrative, exportable PPTX memo.

```
// Dual-agency rating flow — live engine (notchwork.vercel.app)
S&P:  industry × country → CICRA + competitive → BRP · cash-flow + leverage → FRP · BRP × FRP → anchor + 6 modifiers → SACP + Group/GRE/Sov → ICR
Moody's:  sector scorecard (4-7 factors, weights) → factor scores → weighted outcome + other considerations + group/GRE → Final issuer rating
```

The methodology engine

S&P framework + 44 official Moody's sector scorecards — verbatim from published PDFs

S&P CORPORATE FRAMEWORK

Cached via prompt caching · always hot

- General Corporate Methodology (Apr 2026)
- Ratios & Adjustments — FFO/Debt, Debt/EBITDA
- Industry Risk + Country Risk → CICRA
- Management & Governance · ESG Principles
- Group Rating Methodology · Liquidity Descriptors
- Recovery, Subordination, Sovereign caps, GRE
- Hybrid Capital · Investment Holding Companies

MOODY'S SECTOR SCORECARDS — 44

Picked + injected based on issuer sector

- Regulated Electric & Gas Networks (Apr 2022)
- Regulated Electric & Gas Utilities (Aug 2024)
- Regulated Water Utilities (analyst-applied)
- Integrated Oil & Gas · Midstream · Pipelines
- Telecoms · Auto OEMs/Suppliers · Chemicals
- Pharma · Med Devices · REITs · Mining · Steel
- ... and 30+ more (Aerospace, Gaming, Shipping, ...)

INFRASTRUCTURE

AI native, cost-efficient, audit-friendly

- Claude Sonnet 4.5 + 200K context
- Prompt caching: 10× input cost reduction
- Supabase pgvector RAG (1,144 chunks)
- Cross-agency reconciliation (>2 notch gap)
- Auto-retry on arithmetic + factor whitelist
- Streaming SSE · Next.js 16 · Vercel fluid
- Cost: ~£0.50 marginal per dual rating

Cross-agency reconciliation: S&P and Moody's rarely disagree by >2 notches in real ratings. NotchWork auto-reconciles when wider — both engines re-run with the other's view.

03

Market Opportunity

$10bn narrow market · $50–60bn ecosystem · 60K+ underserved corps · zero direct competitors

Market size — TAM / SAM / SOM

Three overlapping addressable markets; conservative SOM

TAM

$50–60bn

Global credit-risk ecosystem

Ratings ($10bn) + analytics + platforms + data + research

SAM

$8.5bn

Self-service + advisory shadow ratings

Mid-market corps + PE + bank DCM + boutique credit advisory

SOM Y3

£4M+

NotchWork 3-year revenue target

0.05% of SAM · 500 SaaS × £160 ARPU + 10 enterprise × £72K

Why now — five forces opening the window in 2026

1. AI crossed the threshold (Claude 200K context + prompt caching → £0.50/dual rating, impossible 18 months ago)
2. BBB cliff anxiety at 15-year high — $699bn BBB- debt, 28% one notch from HY
3. S&P + Moody's fees hit record highs in 2024–25; mid-market affordability gap widening
4. Private credit AUM $2T+; 300K+ unrated borrowers need shadow ratings for NAIC, LP reporting, monitoring
5. NRSRO/CRP regulatory plumbing tightening (NAIC SVO deactivation Jan 2026, ECAI CRR III) → demand for auditable independent views

04

Business Model

SaaS + Enterprise + White-label — three compounding revenue streams

Three revenue streams, compounding

Recurring SaaS core · enterprise upside · white-label leverage

STREAM 1 · SaaS Subscription

Analyst — **£99/mo**

1 user · 5 ratings/mo · PDF export · independent advisors

Professional — **£299/mo**

3 users · unlimited ratings · PPTX · API · comps

Team — **£999/mo**

10 users · priority support · chatbot enrichment · white-label output

STREAM 2 · Enterprise API

Bank / DCM Team — **£3K–£15K/mo**

Unlimited ratings · white-label · S&P + Moody's · custom benchmarks · SLA

PE / Credit Fund — **£5K–£20K/mo**

Portfolio monitoring · bulk upload · NAIC guidance · real-time alerts

Advisory boutique — **Rev share 30%**

White-label NotchWork as own IP · client billing stays with boutique

STREAM 3 · Data & Intelligence

Comps Database — **Y2+, included**

Anonymised benchmarks from aggregated platform ratings · sector P25/P50/P75

API Data Feeds — **£500/mo**

Bulk shadow rating exports for systematic FI strategies and PE portfolio tools

Research Reports — **£2K–£10K**

Sector credit-trend reports for institutional audiences (Utilities, Healthcare, Infra)

Unit economics — best-in-class SaaS

Conservative base case · margin profile that breaks even on first enterprise

SaaS ARPU (blended)

£160/mo

£1,920/yr

Enterprise ARPU

£6K/mo

£72K/yr

Monthly churn target

< 5%

Industry avg 3–8%

CAC (IB channel)

£200–£400

vs £2K+ inbound avg

LTV (24mo, SaaS)

£3,840

LTV/CAC > 10×

Payback period

< 3 months

Best-in-class SaaS

Marginal cost / dual rating

£0.50

Anthropic + Vercel + Supabase

Gross margin

80–84%

After scale

Key insight

1 enterprise contract (£72K ARR) ≈ 100 SaaS subscribers. The enterprise channel is the asymmetric upside — and the founder's IB network is the direct activation path. Marginal cost £0.50 / rating means even £99/mo Analyst tier carries 96%+ contribution margin.

05

Competition & Moat

White space confirmed · technical moat built · clock ticking on the arbitrage window

Competitive landscape

NotchWork occupies uncontested white space — five reasons no one else can replicate quickly

	Big 3 (S&P/Moody's/Fitch)	Boutique advisors	Generic AI tools	NotchWork
Methodology backbone	Yes (proprietary)	Mostly Excel	No	**Yes — verbatim PDFs**
Cross-agency reconciliation	No	Manual	No	**Yes — auto, >2 notch trigger**
Self-service	No (multi-week)	No (4-8wk delivery)	Yes (no methodology)	**Yes (under 10 min)**
Auditable output	Yes	PDF only	Hallucinations risk	**Yes — PPTX + cite refs**
Cost per rating	$75K–$500K+	£50K–£200K	$0–$20	**£0.50 marginal**
Speed	6–12 weeks	4–8 weeks	Minutes	**Under 10 minutes**

Technical moat: 18 S&P PDFs ingested + 44 Moody's scorecards extracted verbatim + cross-agency reconciliation + auto-retry on consistency failures. 12–18 months for a competitor to rebuild from zero — and the methodology PDFs keep updating.

06

Go-To-Market

IB network first · content second · enterprise third — sequenced for capital efficiency

Go-to-market — three phases

Sequenced by capital efficiency · IB network is the cheat code for first 25 clients

PHASE 1 · Now → M6

IB network — first 25 clients

- Direct outreach via IB network + EDHEC alumni
- Target: DCM analysts · CFOs preparing bond issuance · rating advisory teams
- Offer: free Professional plan (30 days) → convert to £299/mo paid
- Positioning: 'I build these models in my day job — try it on your next client'
- Day-1 pipeline: 40+ warm contacts already identified

PHASE 2 · M6–12

Content + community

- LinkedIn thought leadership: 'shadow rating of the week' series
- Targeted Google/LinkedIn ads: 'shadow rating', 'S&P methodology', 'credit assessment'
- Partner with 2–3 rating advisory boutiques (referral + white-label deals)
- /rating-introduction hub drives organic SEO — 9 tabs, 2026-grade content
- Target: 50 paying clients, £240K ARR run-rate

PHASE 3 · M12–18

Enterprise & white-label

- Package NotchWork as white-label for advisory boutiques (rev share 30%)
- First enterprise bank API contract — 1 deal = £72K ARR (= 100 SaaS subscribers)
- PE / credit fund channel: portfolio monitoring for 100+ unrated borrowers
- USPP / NAIC module: designation guidance, NPA covenant context
- Target: 200 clients, £1.2M ARR, Series A materials prepared

07

Founder & Team

10 years of the problem · already shipped · network is the moat

The founder

Domain insider × builder × IB network

Guillaume · Founder & CEO

Role	Corporate Advisory & Transaction Execution — major IB, London
Focus	Event-driven finance · debt advisory · rating advisory — Healthcare & Utilities
Domain	10+ years advising issuers on debt structuring, ratings strategy, capital-markets access
Methodology	Builds S&P/Moody's shadow-rating models in the day job. Knows the gaps from the inside.
Education	EDHEC Business School (Finance)
Builder	3 live products: NotchWork · NewsBeats · Amazon KDP. Stack: Next.js, Claude API, Supabase, Vercel.
Network	IB + EDHEC alumni + DCM = direct activation path for first enterprise clients

5 unfair advantages

Domain insider

Does this exact work at a bulge-bracket IB. Knows the methodology gaps, client pain, and bank DCM workflow from the inside.

IB distribution ready

Warm access to 40+ DCM teams, advisors, CFOs. First 25 clients require zero paid CAC — LinkedIn messages.

Builder already shipped

3 live products. NotchWork is not a prototype — live today at notchwork.vercel.app. Modern stack: Next.js, Vercel, Claude.

Technical moat built

S&P methodology + 44 Moody's scorecards · cross-agency reconciliation · 12–18 months for a competitor to rebuild.

First mover — window open

Zero self-service shadow-rating products exist globally. Big 3 won't cannibalize themselves.

08

The Ask

£500K–£750K Seed · £3.5M pre-money · 18 months to Series A

The ask — Seed round

Terms · use of funds · 18-month milestones

Round terms

Raise

£500K – £750K

Instrument

SAFE / Convertible Note

Pre-money valuation

£3.5M

Post-money (£750K)

£4.25M

Equity offered

~15–18%

Use period

18 months

Series A trigger

£1M+ ARR run-rate

Use of funds

Product (Fitch + DBRS engines, comps DB, mobile)	40%
Go-to-market (first 50 clients, outreach, content)	30%
Team (first hire — month 6, product/growth)	20%
Legal, IP protection, compliance	10%

18-month milestones

M1–2	**Seed close + Supabase** *Doc upload pipeline · Fitch engine init*
M3	**Fitch engine live** *S&P + Moody's + Fitch · split-rating output*
M4–5	**First 10 paying clients** *IB outreach · onboarding feedback loop*
M6	**First hire** *Product/growth · white-label pipeline opened*
M8	**50 clients · £240K ARR** *Enterprise API v1 · first bank conversations*
M10	**First enterprise contract** *1 bank deal = £72K ARR · validates thesis*
M12	**Comps DB + USPP module** *100+ ratings · NAIC guidance · monitoring v1*
M15	**200 clients · £1.2M ARR** *Series A materials prepared*
M18	**Series A raise** *£3–5M target at £15M+ pre-money*

Why now — 5 forces creating the window

A once-in-a-decade confluence of market, technology, and regulation

1

AI crossed the threshold (2024)

Claude's 200K context + prompt caching ingests S&P + 44 Moody's scorecards at £0.50 marginal per dual rating. 18 months ago this unit economics was impossible.

2

BBB cliff anxiety at 15-year high

$699bn BBB- debt globally; 28% one notch from HY; $387bn on negative outlook. CFOs, boards, lenders never more focused on real-time credit positioning.

3

Agency fees hit record highs in 2024–25

S&P + Moody's both raised rack rates 10–15%. Mid-market affordability gap widening. New class of frustrated mid-market issuers being pushed out of agency programs.

4

Private credit AUM > $2T = 300K+ unrated borrowers

Private credit boom. Virtually all PC borrowers unrated. PE sponsors, direct lenders, CLO managers need shadow ratings for NAIC, LP reporting, monitoring.

5

Regulatory plumbing tightening — but with no Big-3 alternative

NAIC SVO deactivation effective Jan 1 2026 (3-notch override authority). CRR III + ECAI rotation. Yet zero self-service alternative exists. Big 3 won't cannibalize themselves.

Product roadmap — 18 months

Seed → Fitch + DBRS → 50 clients → Enterprise → Series A

NOW

Seed close

- ✓ S&P engine live (44 sectors)
- ✓ Moody's engine live (44 scorecards)
- ✓ Cross-agency reconciliation
- ✓ Doc upload pipeline + chatbot
- ✓ PPTX / PDF export
- ✓ 9-tab rating-introduction hub
- ✓ Vercel + GitHub CI

Q3 2026

Fitch + DBRS

- → Fitch methodology + VR for banks
- → DBRS Morningstar integration
- → Tri-agency + split-rating output
- → Enterprise API v1
- → First 25 clients
- → Comps DB seeding

Q4 2026

Platform scale

- → Comps DB public
- → FMP/EDGAR data layer
- → White-label v1
- → 50 clients · £240K ARR
- → First enterprise deal
- → NAIC / USPP module

Q1–Q2 2027

Series A prep

- → Scope Ratings integration
- → KBRA / AM Best modules
- → Multi-user teams
- → Sector trend reports
- → 200 clients · £1.2M ARR
- → Series A close

Seed close → Fitch + DBRS engines (M3) → 50 clients/£240K ARR (M8) → Enterprise contract (M10) → Series A ready (M18)

Technology stack

Modern, scalable, cost-efficient — built on AI-native infrastructure

Frontend

- Next.js 16 (App Router) + TypeScript
- Tailwind CSS v4 + shadcn/ui components
- Streaming Server-Sent Events (SSE) for real-time output
- Auth via Clerk (social login, JWT)

AI Engine

- Claude Sonnet 4.5 (Anthropic) via API
- Prompt caching: 18 S&P PDFs + 44 Moody's scorecards always hot
- RAG: Supabase pgvector (1,536-dim embeddings, 1,144 chunks)
- Cross-agency reconciliation + retry loops + factor whitelist

Backend & Data

- Supabase (Postgres + pgvector + auth + storage)
- 5 core tables: methodology_chunks · rating_sessions · session_documents · comps_database · chat_messages
- Keep-alive cron (GitHub Actions, M+Th)
- FMP API for public comps; EODHD on roadmap

Infrastructure

- Vercel (frontend + serverless API + fluid compute 300s)
- GitHub Actions (CI/CD + cron)
- Cloudflare R2 storage option
- PptxGenJS + react-pdf for export pipelines

Cost at scale: ~£0.50 marginal per dual rating · ~£20/mo Vercel Pro + £25/mo Supabase Pro at volume · Total infra at 50 users: ~£60/mo

NotchWork.io

Independent credit insight. Two parallel agency views. Zero Big 3 fees.

Raising £500K–£750K Seed · £3.5M pre-money · 18 months to Series A

notchwork.vercel.app

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